

State Bank Of India, India, NSE:SBI, D

MA (4, close, 0)
MA (9, close, 0)
MA (18, close, 0)
MA (50, close, 0)



This is another example of convergence and divergences. We have used 4 DMA, 9DMA, 18DMA, and 50 DMA here. We see that same play out in multiple phases.

1. Beginning June, all the asset prices start to come together i.e. converge with one another.
2. The short-term moving averages start moving upwards creating a false divergence signal. We might have gone long here as the move is significant and ended up with a small loss since the trend reverses.
3. The moving averages again come back together and create convergence. This is then followed by divergence on the upside and we would have gone long at this divergence too and this time we would have booked profits.

This is how we see false moves that can create small losses at times here as well. We do not need to be afraid of losses if it is part of a systematic approach. In this case, it was systematic and that is why this fine.